

1. Introduction to Insurance

1) Basic Terms ★

Insurance

Meaning:

Insurance is a way to transfer risk from a person to an insurance company and get financial protection from losses.

Example:

You insure your car. If accident happens, company pays loss.

Risk

Meaning: Chance of loss

Example:

Chance of car accident.

Peril

Meaning: Cause/reason of loss

Example:

Fire is a peril causing damage to property.

Hazard

Meaning: Something that increases the chance of loss.

Example:

Smoking increases health risk.

Pooling

Meaning: Sharing of money collected from many people.

Example:

Many people pay premiums → company uses money to pay losses of few people.

Main principle:

☞ Losses of few are shared by many

2) History of Insurance ★

3000 BC

Insurance existed in some form.

Babylon Traders

Traders paid extra money to lenders so loans could be cancelled if goods were lost.

Modern Insurance

Lloyd's Coffee House, London

→ Origin of insurance business

1706

→ Amicable Society for

Perpetual Assurance

First life insurance company in world

1818

→ Oriental Insurance Company Ltd

First life insurance company in India (English company)

1850

→ Triton Insurance Company Ltd

First non-life insurance company in India

1870

→ Bombay Mutual Assurance Company Ltd

First Indian life insurance company

1906

→ National Insurance Company Ltd

Oldest insurance company in India

Important Insurance History

Dates ★ ★ ★

Insurance Act

→ 1938

LIC Formation

→ 1 September 1956

GIC Formation

→ 1972

Malhotra Committee

→ 1994

IRDA Act

→ 1999

IRDAI started

→ April 2000

Foreign investment limit

→ 74% (2021 amendment)

How Insurance Works

Insurance protects:

1) Physical Asset

Example:

Car, house

2) Non-Physical Asset

Example:

Goodwill

3) Personal Asset

Example:

Human life

Risk Burden Reduction

Primary Risk

Actual loss happens.

Examples:

Death

Hospital expenses

Fire loss

Secondary Risk

Fear or stress about possible future loss.

Example:

Worry about medical expenses.

Insurance helps by creating financial support.

Risk Pooling Principle

Mutuality

Money comes from many people to one pool.

Example:

Thousands of customers pay premium.

Diversification

Money goes from one source to many places.

Example:

Insurance company pays different types of claims.

Risk Management Techniques

★

Remember: A R R T

1) Risk Avoidance

Avoid the risk completely.

Example:

Not doing dangerous activity.

2) Risk Retention

Accept the risk yourself.

Example:

Paying small damages from own pocket.

3) Risk Reduction & Control

Reduce chances of loss.

Example:

Installing fire safety system.

4) Risk Transfer

Transfer risk to insurance company by paying premium.

Example:

Buying car insurance.

Role of Insurance in Society

Insurance:

✓ Protects individuals

✓ Helps economy

✓ Creates employment

✓ Helps infrastructure development

✓ Reduces fear and worry

Social Security

ESIC Act 1948

Provides benefits for:

Sickness

Disability
Maternity
Death
For industrial employees and families.

Government Schemes ★

PMJJBY

Pradhan Mantri Jeevan Jyoti Bima Yojana

➡ Life insurance scheme

PMSBY

Pradhan Mantri Suraksha Bima Yojana

➡ Accident insurance

2. Core Elements of Insurance

1) Asset

Meaning:

Anything that gives benefit and has economic value to its owner.

Example:

Car 🚗

House 🏠

Factory machine

Features of Asset

1) Economic Value

Asset should have money value.

It gives benefit in two ways:

Income Generation

Asset helps to earn money.

Example:

Factory machine → produces products → earns income

Serving Needs

Asset provides usefulness/comfort.

Example:

Car → gives transport and comfort

2) Scarcity & Ownership

Asset should be:

Limited (scarce)

Owned by someone

Example:

Sunlight, Air, Water ✖

Why not assets?

Available freely

Not owned by one person

Insurance of Assets

Insurance gives:

✓ Financial protection against unexpected loss

PMFBY

Pradhan Mantri Fasal Bima Yojana

➡ Crop insurance

PMJAY

Pradhan Mantri Jan Arogya Yojana

➡ Health insurance

PMVVY

Pradhan Mantri Vay Vandana Yojana

➡ Pension scheme

APY

Atal Pension Yojana

➡ Pension scheme

Example:

Car damaged in accident → insurance pays loss

Insurance does NOT cover:

✖ Normal wear and tear

Example:

Old car parts becoming damaged due to age.

Remember:

👉 Insurance pays when loss happens, not for normal damage.

2) Risk

Meaning:

Chance of loss.

Example:

Chance of accident.

Peril

Meaning:

Cause of loss.

Example:

Fire causes damage.

Fire = Peril

Natural Wear & Tear

Normal damage due to use/time.

Example:

Old machine becoming weak.

Not covered by insurance.

Exposure to Risk

Insurance works only when there is:

Peril + Financial loss

Example:

Fire happens → factory damaged → money loss

Degree of Risk Exposure

Exam Memory Points ★

3000 BC → Beginning of insurance

1706 → First life insurance company

1818 → First life insurance in India

1938 → Insurance Act

1956 → LIC

1972 → GIC

1999 → IRDA Act

2000 → IRDAI

Two people can face same risk but loss amount can be different.

Example:

Two houses face flood.

House A loss = ₹1 lakh

House B loss = ₹10 lakh

Same peril, different loss.

3) Risk Management

It means controlling or handling risks.

Based on damage:

Critical Risk

Heavy loss but

person/company can survive.

Example:

Large medical expense.

Catastrophic Risk

Very large, sudden and widespread loss.

Example:

COVID-19, major natural disaster.

Marginal/Insignificant Risk

Small loss.

Example:

Minor repair cost.

4) Hazard & Peril

Peril

Cause of loss.

Example:

Fire, flood, accident

Hazard

Something that increases chance of loss.

Types of Hazard ★

1) Physical Hazard

Physical condition increasing risk.

Example:

Old wiring causing fire risk.

2) Moral Hazard

Dishonesty or bad intention.

Example:

Person intentionally damages car to claim insurance.

3) Legal Hazard

Risk due to legal responsibility.

Example:

Company responsible for damage caused to others.

5) Risk Pooling

Meaning:

Many people contribute money, and losses of few are paid from that pool.

Example:

1000 people pay premium.

Only 10 people suffer loss.

Money is used to pay those 10.

Principle:

👉 Losses of few are shared by many

Law of Large Numbers

More number of people =

Insurance company can predict risk better.

Example:

Insuring 1 person is uncertain.

Insuring 1 lakh people gives

better calculation.

Solvency Ratio ★

Insurance companies keep reserve money to pay future claims.

IRDAI required solvency ratio:

➡ 1.5

Meaning:

Company should have enough financial strength.

Quick Revision Trick:

Asset → Value + Ownership

Risk → Chance of loss

Peril → Cause of loss

Hazard → Increases risk

Pooling → Sharing loss

Solvency ratio → 1.5

3. Principle of Insurance

1) Utmost Good Faith

(Uberrima Fides)

Meaning:

Both the customer and insurance company must tell the complete truth and not hide important information.

Material facts = Important information

Example:

While taking health insurance, you must tell:

Disease history

Smoking habit

Age

Occupation

If you hide cancer history and later claim, it can create a problem.

Insurance company also must tell:

Policy benefits

Terms & conditions

Exclusions

Remember:

👉 "Insurance works on TRUST"

Applicable:

✓ Life insurance

✓ Non-life insurance

2) Insurable Interest

Meaning:

You should have a financial connection with the thing/person insured.

Ask:

"If this person/thing is damaged, will I lose money?"

Example:

Your car → Yes, you lose

money → Insurable interest

Friend's car → No loss to you →

No interest

People who can have interest:

Self

Spouse

Children

Employer & employee

Business partners

Important:

Life insurance → checked when buying policy

Non-life insurance → checked

when buying + claiming

Remember:

👉 "No financial loss = No insurance interest"

3) Proximate Cause

Meaning:

Finding the nearest/direct cause of loss.

Example:

A house catches fire because of an electric short circuit.

Cause of loss:

Short circuit → Fire → Damage

Nearest cause = Short circuit

Insurance checks:

"Did the loss happen because of an insured risk?"

Remember:

👉 "Find the main reason"

4) Indemnity

Meaning:

Insurance gives compensation only for the actual loss, not profit.

Example:

Your car value = ₹5 lakh

Damage = ₹50,000

Insurance pays ₹50,000, not

₹5 lakh.

Important:

Applicable mainly in:

✓ General insurance (car, fire, health)

Not applicable:

✗ Life insurance

Remember:

👉 "Insurance replaces loss, not gives profit"

5) Subrogation

Meaning:

After paying your claim, insurance company gets the right to recover money from the person responsible for the loss.

Example:

Someone hits your car.

Insurance company pays your repair money.

Company can recover money from the person who caused accident.

Remember:

👉 "Insurer pays → then recovers"

6) Contribution

Meaning:

If the same property is insured

with more than one company,
all insurers share the loss.

Example:

Your shop insured:

Company A = ₹5 lakh

Company B = ₹5 lakh

Fire loss = ₹2 lakh

Both companies contribute to
pay the loss.

Purpose:

Customer should not make
profit from insurance.

Remember:

👉 "Many insurers = Share the
loss"

Easy memory trick:

G I P I S C

G → Good Faith = Tell truth

I → Insurable Interest =

Financial connection

P → Proximate Cause = Main
cause

I → Indemnity = Actual loss

S → Subrogation = Recover
money

C → Contribution = Share loss

4. Features of Insurance Contract

Insurance policy is a legal
contract between:

Insurer = Insurance company

Insured/Proposer = Customer

For a contract to be valid,
these things are required:

1) Offer and Acceptance

Offer = Customer gives
proposal

Acceptance = Insurance
company accepts it

Example:

You fill a life insurance
proposal form → this is an
offer.

Company checks details and
says yes → acceptance.

Remember:

👉 Customer offers, insurer
accepts.

2) Consideration

Consideration means
something valuable
exchanged between both
parties.

In insurance:

Customer gives:

➡ Premium money

Insurance company gives:

➡ Promise of
protection/claim payment

Example:

You pay ₹10,000 premium →
company promises insurance
cover.

Remember:

👉 Premium = Customer's
consideration

3) Agreement Between Parties (Consensus ad idem)

Meaning:

Both parties must understand
and agree to the same thing in
the same way.

Example:

Customer thinks policy covers
accident + illness.

But company policy only
covers accident.

There is no proper agreement.

Remember:

👉 Same understanding by
both sides.

4) Free Consent

Meaning:

Customer should take
insurance by their own choice,
without pressure.

Free consent means:

No Coercion

No force or threat.

Example:

Someone forces you to buy
policy.

No Undue Influence

No misuse of power.

Example:

A person uses authority to
force decision.

No Mistake

Both should understand
correctly.

No Misrepresentation

Wrong information given.

Example:

Agent gives false benefits.

No Fraud

Intentional cheating.

Remember:

👉 Decision should be free
and honest.

5) Capacity of Parties

Meaning:

Person entering contract
should be legally capable.

Conditions:

✓ Major (above 18 years)

✓ Sound mind

✓ Legally allowed

Example:

A child cannot normally enter
insurance contract.

Remember:

👉 Must be legally eligible.

6) Legality

Meaning:

The purpose of contract
should be legal.

Example:

Insurance cannot be taken for
illegal activities.

Remember:

👉 Legal purpose = valid
contract.

Section 64VB ★

Meaning:

Insurance company cannot
take risk until premium is
received in advance.

Example:

You want car insurance.

First pay premium → then
insurance cover starts.

Remember:

👉 No premium = No risk
cover

Solicitation ★

Meaning:

Insurance should be bought
after proper understanding,
not by force or blindly.

Agent should explain:

Benefits

Terms

Conditions

Limitations

Remember:

👉 Understand first, buy later.

Quick memory trick:

O C A F C L

O → Offer & Acceptance

C → Consideration

A → Agreement

F → Free Consent

C → Capacity

L → Legality

5. Underwriting & Rating

1) Underwriting

Meaning:

Underwriting means checking the risk before giving insurance.

Insurance company decides: Should we accept this risk or not?

If yes, what premium should be charged?

What terms and conditions should apply?

Simple example:

A person wants health insurance.

Company checks:

Age

Health condition

Medical history

Lifestyle

Then company decides:

✓ Accept policy

OR

✗ Reject policy

OR

Charge higher premium

This checking process = Underwriting

Why Underwriting is needed?

It prevents Anti-selection (selection against insurer).

Meaning:

High-risk people should not take advantage by hiding information.

Example:

A person already has serious illness but hides it and buys insurance.

Underwriting helps detect such risks.

Underwriting includes:

1) Assessment of Risk

Company checks:

Hazard → What increases risk?

Example:

Smoking increases health risk.

Probability → Chance of loss

Example:

Old person has higher health risk.

Severity → How big can loss be?

Example:

Major illness = high cost.

2) Deciding Policy Coverage

Company decides:

What will be covered

What will not be covered

Conditions

3) Fixing Premium Rate

Higher risk = Higher premium

Lower risk = Lower premium

Sources of Information for Underwriting

Company gets information from:

1) Proposal Form

Information filled by customer.

Example:

Age, health, occupation.

2) Risk Survey

Company checks the actual risk.

Example:

Checking factory safety.

3) Previous Claim Data

Past claim history is studied.

Product Filing with IRDAI

Before launching insurance products:

Insurance company must get approval from IRDAI.

IRDAI gives:

UIN (Unique Identification Number)

Remember:

👉 Every approved product has UIN.

2) Ratemaking

Meaning:

Process of calculating the correct premium price.

Company calculates:

Premium =

Expected claim payments

Expenses

Commission

Reserves

Profit margin

Final Premium Includes:

1) Loss Payments

Money needed for claims.

2) Loss Expenses

Example:

Surveyor fees.

3) Agency Commission

Payment to agents.

4) Management Expenses

Company running expenses.

5) Reserve Margin

Money kept for future claims.

6) Profit Margin

Company profit.

Pure Premium

Meaning:

Premium amount only enough to pay losses.

It does not include:

Expenses

Profit

Deductible

Meaning:

Part of loss paid by customer; remaining paid by insurer.

Example:

Hospital bill = ₹1,00,000

Deductible = ₹10,000

Customer pays ₹10,000

Insurance pays ₹90,000

Remember:

👉 Deductible = Customer shares loss

Franchise

Meaning:

A fixed limit below which no claim is paid.

Example:

Franchise = ₹10,000

Loss = ₹8,000

→ No claim

Loss = ₹15,000

→ Claim allowed (as per policy terms)

Easy memory:

Underwriting = Decide risk

Ratemaking = Decide premium

Deductible = Customer pays some part

Franchise = Minimum limit for claim

6. Claim Processing

1) Claim Assessment (Loss Assessment)

Meaning:

Insurance company checks whether the loss is covered under the policy or not.

Company checks:

✓ Is the loss included in policy?

✓ Is there any exclusion?

✅ Did customer follow policy conditions?

Example:

Car insurance covers accident damage.

Car damaged due to accident → claim can be accepted.

But if damage is due to normal wear & tear → not covered.

Remember:

👉 Claim assessment = Checking eligibility of claim

2) Turnaround Time (TAT)

Meaning:

The time taken by insurance company to complete claim processing.

Example:

Customer submits documents on Monday.

Company settles claim in 15 days.

15 days = TAT

Remember:

👉 TAT = Claim processing time

Important Checks Before

Paying Claim ★

Insurance company checks:

1) Policy conditions followed

Example:

Customer followed rules of policy.

2) Utmost Good Faith

Customer gave correct information.

3) No fraud or hidden material facts

Example:

Hiding disease while taking health insurance.

Categories of Claims

1) Standard Claim

Meaning:

Claim is completely according to policy terms.

Example:

Car accident covered under motor insurance.

→ Claim accepted.

2) Average Clause /

Underinsurance

Meaning:

Property is insured for less amount than its actual value.

Example:

Actual house value = ₹20 lakh

Insurance taken = ₹10 lakh

This is underinsurance.

Claim payment may be reduced according to proportion.

Remember:

👉 Underinsurance = Less insurance than actual value

3) Act of God Perils

Meaning:

Loss caused by natural disasters.

Examples:

Flood

Earthquake

Cyclone

Storm

Called:

Catastrophic losses

4) On Account Payment

Meaning:

Partial payment given before final claim settlement.

Used when:

Repair/replacement takes a long time.

Example:

Factory damaged by fire.

Repair will take months.

Company gives some money first.

5) Discharge Voucher

Meaning:

A document signed by customer after receiving claim payment.

It confirms:

"I have received settlement."

6) Post Settlement Action

Meaning:

Actions taken by insurer after paying claim.

Example:

Checking future risk or improving underwriting.

7) Salvage

Meaning:

Damaged property left after loss.

Example:

Burnt car parts after accident.

After claim payment:

Salvage usually belongs to insurer.

Remember:

👉 Claim paid = damaged item goes to insurer

8) Recoveries

Meaning:

Insurer tries to recover money from responsible third party.

Related to:

Subrogation

Example:

Another person damages your car.

Insurance pays you.

Then insurer recovers money from that person.

9) Claim Disputes

Problems like:

Delay in payment

Claim rejected

Less amount paid

Arbitration ★

Meaning:

A method to solve disputes outside court with the help of an arbitrator.

Example:

Customer and insurer disagree about claim.

They go for arbitration.

Law:

Arbitration & Conciliation Act, 1996

Quick Memory Trick:

A T C S A O D S R A

Assessment

TAT

Conditions

Standard claim

Average clause

On account

Discharge

Salvage

Recoveries

Arbitration

7. Documentation

A) Proposal Stage

Documentation

(When customer is applying for insurance)

1) Prospectus

Meaning:

A document given by insurance company that explains the insurance product.

It tells:

Product details

Benefits

Features

Terms & conditions

Exclusions (what is not covered)

Riders/add-on covers

Renewal details

Discounts/loadings

Nomination facility

UIN (Unique Identification Number)

Remember:

👉 Prospectus = Information about product

2) Proposal Form

Meaning:

Application form filled by customer to buy insurance.

It contains:

Personal details

Health details

Risk information

Declaration by customer

Company uses it to decide:

✅ Accept policy

or

❌ Reject policy

Remember:

👉 Proposal form = Customer information

3) Agent's Report

Agent acts like a primary underwriter.

Meaning:

Agent should check and report important facts.

Example:

Customer hides smoking habit
→ agent should mention it.

Remember:

👉 Agent = First risk checker

4) KYC (Know Your Customer)

Meaning:

Process to verify customer identity.

Types:

Proof of Identity:

PAN card

Aadhaar

Passport

Driving licence

Voter ID

Proof of Address:

Aadhaar

Passport

Electricity bill

Bank passbook

Proof of Age:

Standard:

Birth certificate

School certificate

Passport

Non-standard:

Horoscope

Ration card

Affidavit

Income proof:

Required for high-value transactions.

Remember:

👉 KYC = "Who is the customer?"

5) Anti Money Laundering (AML)

Meaning:

Prevent illegal money from being shown as legal money.

Example:

Someone earns illegal money and tries to invest it in insurance.

Important:

PMLA Act 2000

Effective from 2005

Insurance companies must:

Maintain AML policy

Train agents

Keep internal controls

Remember:

👉 AML = Stop illegal money

B) Policy Stage Documentation (After policy is accepted)

1) First Premium Receipt (FPR)

Meaning:

Proof that insurance contract has started.

Contains:

Name

Policy number

Premium paid

Payment mode

Risk start date

Maturity date

Remember:

👉 FPR = Proof of policy beginning

2) Free Look Period

Meaning:

Customer can cancel policy after receiving documents.

Time:

★ 15 days

Refund deductions:

Stamp duty

Proportionate premium

Medical expenses

Remember:

👉 Free look = 15 days to check policy

3) Policy Document

Evidence of contract between:

Insurer + Insured

Contains:

Policy Schedule

First page details:

Name

DOB

Plan

Term

Premium

Sum assured

Standard Provisions

Common rules:

Grace period

Lapse

Loan

Revival

Specific Provisions

Special conditions for that policy.

C) Policy Conditions

Grace Period

Extra time to pay premium.

Life/Health:

Monthly = 15 days

Quarterly/yearly = 30 days

Motor:

No grace period.

Lapse

Meaning:

Premium not paid even after grace period.

Result:

Policy stops.

Remember:

👉 No premium = Lapse

Revival / Reinstatement

Meaning:

Restarting a lapsed policy.

Need:

Unpaid premium
Interest
Time:
Within 5 years from lapse.
Types:
Ordinary revival
Special revival
Loan cum revival
Instalment revival

Non-Forfeiture
If premiums paid for at least 3 years:
Customer gets surrender value benefit.

Surrender Value
Meaning:
Money received when customer closes policy before maturity.

Policy Loan
Loan given against policy surrender value.
Usually around 90% of surrender value.

Nomination ★
Meaning:
Person who receives policy money after death of insured.
Example:
Father buys policy → names daughter as nominee.
Law:
Section 39
Nominee:
Gets money, but does not own policy rights.

Assignment ★
Meaning:
Transfer of policy rights from one person to another.
Example:
Giving policy rights to bank for loan.
Law:
Section 38
Person transferring:
Assignor
Person receiving:
Assignee
Types:
Conditional Assignment
Rights can return.
Absolute Assignment

Complete transfer, cannot return.

Nomination vs Assignment
Nomination:
→ Receive money after death
Assignment:
→ Transfer ownership/rights

Alteration
Changes allowed:
✓ Name
✓ Address
✓ Payment mode
✓ Commencement date
✓ Split policy
Not allowed:
✗ Increase risk
✗ Reduce premium
✗ Change policy term

IC38 Exam Memory Points ★
Prospectus = Product details
Proposal form = Customer details
FPR = Policy started proof
Free look = 15 days
Grace period = Extra payment time
Lapse = Policy stops
Revival = Restart policy
Nomination = Receive money
Assignment = Transfer rights
KYC = Verify identity
8. Customer Service

1) SERVQUAL (Service Quality Indicators) ★
Trick: R A R E T
1. Reliability
Meaning:
Providing correct and promised service.
Example:
Agent gives correct policy information and completes work on time.
👉 "Do what you promised"

2. Assurance
Meaning:
Creating confidence and trust in customer.
Example:
Agent explains policy clearly and answers doubts.
👉 "Customer feels safe"

3. Responsiveness
Meaning:
Willingness to help customers quickly.
Example:
Quick reply to customer questions.
👉 "Fast help"

4. Empathy
Meaning:
Understanding customer feelings and needs.
Example:
Listening to customer's problem patiently.
👉 "Understand customer"

5. Tangibles
Meaning:
Physical appearance and facilities.
Example:
Office, documents, professional appearance.
👉 "Things customer can see"

Point of Sale
Meaning:
The first place where customer interacts with insurance service.
Example:
Insurance agent meeting customer.
👉 First impression starts here.

Motor Insurance Rule ★
In India:
Third-party motor insurance is compulsory by law.
Meaning:
Vehicle owner must have insurance to cover damage/injury caused to others.

Factors for Effective Performance
Soft Skills
Good behaviour and attitude.
Communication Skill
Explaining things clearly.
Listening Skill
Understanding customer's needs.
Attraction
Building positive relationship.

Trust
Customer should believe agent.
Ethical Behaviour
Doing correct and fair actions.
Not Being Judgmental
Don't criticize customer decisions.

Forms of Communication

1) Oral
Speaking communication.
Example:
Phone call, meeting.
2) Written
Documents/messages.
Example:
Email, policy document.
3) Non-verbal
Communication without words.
Example:
Expressions, gestures.
Body Language
Good body language:
☒ Confidence
☒ Smile
☒ Eye contact
☒ Good posture

Listening Skills

Active Listening
Giving full attention and understanding.
Example:
Listening carefully and asking questions.
Empathetic Listening
Understanding customer's feelings.
Example:
Customer is worried about claim → respond with care.

Customer Lifetime Value (CLV)

Meaning:
Total financial benefit a customer gives through a long-term relationship.
Types:
1) Historic Value
Money already received from customer.
Example:
Past premiums paid.
2) Present Value
Expected future premiums.

Example:
Customer continues current policy.
3) Future/Potential Value
Additional business from customer.
Example:
Customer buys another insurance product.

Ethical Behaviour ★

Good insurance agent should:
1) Customer interest first
Don't sell wrong policy only for commission.
2) Maintain confidentiality
Protect customer's personal information.
3) Give full information
Explain all facts so customer can make correct decision.

Quick Revision:

SERVQUAL:
R A R E T
Reliability → Promise
Assurance → Trust
Responsiveness → Quick help
Empathy → Care
Tangibles → Physical things
CLV:
Past = Historic
Today = Present
Future = Potential

9. Grievance Redressal Mechanism

1) IGMS (Integrated Grievance Management System)

Meaning:
IGMS is a system of IRDAI that collects and manages insurance complaints.

How it works:

Customer has complaint



Complaint registered in IGMS



Forwarded to concerned insurance company



Company resolves it

Remember:

👉 IGMS = Central record of insurance complaints

2) Consumer Protection Act, 2019

Meaning:

Law made to protect the rights and interests of consumers.

Consumer means:

A person who buys and uses a product/service.

Example:

Person buying insurance policy = Consumer

Consumer Disputes Redressal

Agencies ★

Think: D → S → N (Increasing value)

1) District Commission

Value:

➡ Up to ₹1 Crore

2) State Commission

Value:

➡ ₹1 Crore to ₹10 Crore

3) National Commission

Value:

➡ Above ₹10 Crore

Memory trick:

District = Small

State = Medium

National = Highest

Complaint Filing Procedure

Remember:

☒ Complaint can be filed personally

or by authorised person

☒ Must be in writing

☒ No need of:

Fees

Advocate

3) Insurance Ombudsman

★ ★ ★

Meaning:

An independent person who helps solve disputes between: Customer (insured)

and

Insurance company (insurer)

Role:

Mediator

Counsellor

When can complaint go to Ombudsman?

If:

Insurance company rejected complaint

OR

No reply received within 1 month

OR

Customer is not satisfied with reply

Important Points:

Time limit:

Complaint should be made within:

→ 1 year from rejection date

Claim limit:

→ Up to ₹30 lakh

Office:

→ 17 offices in 17 territories

Condition:

Complaint should not already be pending in:

Court

Consumer forum

Arbitration

Ombudsman Decision ★

Recommendation → within 1 month

Award → within 3 months

Decision is binding on insurer.

Remember:

👉 Ombudsman = Fast dispute solution

4) Right to Information (RTI)

Act, 2005

Meaning:

Law that gives citizens the right to get information from public authorities.

Purpose:

Transparency

Accountability

Example:

Citizen can ask government departments for information.

Quick Revision Trick:

IGMS → Complaint system

Consumer Act → Protect customer

Ombudsman → Solve insurance disputes

RTI → Get information

Numbers to memorize ★

District → ₹1 Cr

State → ₹1–10 Cr

National → Above ₹10 Cr

Ombudsman claim limit → ₹30 lakh

Ombudsman complaint time → 1 year

RTI → 2005

10. Regulatory Aspects for Insurance Agents

1) Insurance Agent

Meaning:

A person appointed by an insurance company to sell insurance policies and bring insurance business.

Agent helps in:

New policy

Renewal

Revival

Continuation

Remember:

👉 Agent = Person who brings insurance business

2) Composite Insurance Agent

Meaning:

An agent who can work with multiple types of insurers.

Can be appointed with:

More than one life insurer

One general insurer

One health insurer

One mono-line insurer

Remember:

👉 Composite = Multiple insurance categories

3) Designated Official

Meaning:

Officer of insurance company who has authority to appoint agents.

Process:

Applicant submits:

→ Form I-A

If selected:

→ Appointment letter within 15 days

If rejected:

→ Reason given in writing within 21 days

Appointment letter dispatch:

→ Within 7 days

4) Training Duration ★

Remember:

Life advisor → 50 hours

General advisor → 25 hours

Composite advisor → 75 hours

Trick:

Life 50 + General 25 =

Composite 75

5) Examination Body

Exam conducted by:

Insurance Institute of India (III)

Pass certificate validity:

→ 12 months

6) Code of Conduct for Agents

★

Agent should:

✓ Explain product details properly

✓ Understand customer needs before suggesting plan

✓ Tell importance of material information

✓ Suggest nomination

✓ Inform acceptance/rejection of proposal

✓ Help in claim settlement

Remember:

👉 Agent = Guide + Support customer

7) Agents are Prohibited From

✗

Agent cannot:

✗ Sell insurance without appointment

✗ Tell customer to hide information

✗ Submit wrong details in proposal form

✗ Use multilevel marketing for insurance selling

✗ Offer benefits/rates different from insurer

8) Action Against Agent

If agent breaks rules:

Appointment can be suspended

Appointment can be cancelled

IRDAI maintains:

Centralized list of blacklisted agents

9) Identification of Prospect

Ways to find customers:

Natural Market

Family, friends, known people

Referral Market

Existing customers give references

Cold Calling

Contacting unknown people

Testimonial

Using customer's positive experience

Centre of Influence

People who can influence others
Example:
Doctors, teachers, business owners

Quick IC38 Revision ★
Agent appointment rules → 1 April 2016
Form → I-A
Appointment letter → 15 days
Rejection reason → 21 days
Dispatch letter → 7 days
Life training → 50 hrs
General training → 25 hrs
Composite training → 75 hrs
Exam body → III
Certificate validity → 12 months

1. What Life Insurance Involves

1) Asset

Meaning:

Anything that has **economic value** and can be measured in money.

Types of Assets:

1) Physical Asset

Something you can see and touch.

Examples:

Car 🚗

House

Machine

2) Non-Physical Asset

Something you cannot touch but has value.

Example:

Goodwill of a business

Brand value

3) Personal Asset

Related to a person's value.

Example:

Human life

Remember:

👉 Asset = Anything having money value

2) HLV (Human Life Value) ★

Meaning:

HLV helps to calculate **how much life insurance cover a person needs** to protect family financially.

Simple meaning:

"If a person dies, how much money is needed to replace

the financial support they provided?"

Introduced by:
Prof. Hubener

Formula:

HLV = Net Earnings ÷ Interest Rate

Example:

A person's income contribution is calculated to know required insurance amount.

Components of HLV:

Monthly income

→ How much person earns

Bank deposits

→ Existing savings

Discount rate

→ Adjustment factor used in calculation

Remember:

👉 HLV = Value of human income

3) Risk

Meaning:

Chance of loss.

Types of Risk ★

1) Mortality Risk

Meaning:

Risk of dying too early.

Related to:

➡ Age

Example:

Life insurance covers death risk.

Remember:

Mortality = Death

2) Morbidity Risk

Meaning:

Risk of illness, disease or disability.

Related to:

➡ Health

Example:

Health insurance covers hospitalization.

Remember:

Morbidity = Disease

3) Longevity Risk

Meaning:

Risk of living too long.

Example:

A person outlives savings after retirement.

Remember:

Longevity = Long life

4) Insurance Contracts ★

Life Insurance

Life insurance contracts are:

Contracts of Assurance

Meaning:

Payment is made on the happening of an uncertain event (death) because human life value cannot be exactly calculated.

Non-Life Insurance

(General + Health insurance)

These are:

Contracts of Indemnity

Meaning:

Compensation is given only for actual financial loss.

Example:

Car damage ₹50,000 →

company pays ₹50,000.

Easy Memory Trick:

M M L

Mortality → Death → Age

Morbidity → Disease → Health

Longevity → Living long

Life = Assurance

General/Health = Indemnity

2. Financial planning

1) Financial Planning

Meaning:

Financial planning means deciding:

What are your goals?

How much money you have?

How much money you need in future?

How to achieve those goals?

Example:

Planning money for house, education, retirement.

Remember:

👉 Financial planning = Plan money for future needs

2) Types of Goals ★

1) Short-term Goal

Time period: Near future

Example:

Family vacation

Buying phone

2) Mid-term Goal

Example:

Buying a house

Starting a business

3) Long-term Goal

Example:

Children's education

Retirement planning

Insurance helps achieve long-term goals.

3) Savings

Savings means keeping money for future.

It involves:

1) Postponement of Consumption

Not spending money today.

Example:

Saving salary instead of shopping.

2) Parting with Liquidity

Keeping money locked/invested.

Example:

Putting money in FD or insurance.

4) 7 Stages of Life ★

Memory:

LEPPER

1) Learner

Learning stage.

Example:

Student life.

2) Earner

Starts earning money.

3) Partner

Marriage stage.

4) Parent

Having children.

5) Provider

Taking responsibility for family needs.

6) Empty Nester

Children become independent/married.

7) Retired

No regular income.

Important:

☞ Start financial planning from first salary.

5) Need for Financial Planning

Challenges:

1) Disintegration of joint family

Less family support.

2) Multiple investment choices

Many options create confusion.

3) Changing lifestyle

Higher spending habits.

4) Inflation

Prices increase over time.

5) Other contingencies

Unexpected expenses.

6) Investment Decision

Parameters ★

1) Diversification

Don't put all money in one place.

Example:

Invest in different assets.

2) Tax Consideration

Tax benefits under:

Section 80C

Section 10(10D)

3) Risk Tolerance

How much risk a person can handle.

4) Time Horizon

Longer investment time = possibility of higher returns.

5) Liquidity

How quickly money can be converted into cash.

6) Marketability

Ability to sell investment easily.

7) Financial Products

1) Transactional Product

Used for daily money needs.

Example:

Bank deposit

2) Contingency Product

Protects against unexpected events.

Example:

Life insurance

3) Wealth Creation Product

Helps grow money.

Examples:

Shares

Bonds

Real estate

8) Risk Profile & Investment Style

Aggressive

High risk

Style:

Accumulation

Progressive

Medium risk

Style:

Consolidation

Secured

Low risk

Style:

Spending

Conservative

Very low risk

Style:

Gifting

9) Areas of Financial Planning



Financial planning includes:

Cash planning

→ Managing income and expenses

Investment planning

→ Growing money

Insurance planning

→ Protection from risk

Retirement planning

→ Income after retirement

Estate planning

→ Transfer of wealth

Tax planning

→ Saving tax legally

Quick Revision Trick:

Goals:

Short → Mid → Long

Life stages:

Learner → Earner → Partner →

Parent → Provider → Empty

Nester → Retired

Planning:

Cash + Investment +

Insurance + Retirement +

Estate + Tax

3. Life insurance product - Traditional

1) Product

Meaning:

A product is a combination of different features/benefits.

Types:

1) Tangible Product

Can be seen, touched, felt.

Example:

Car, mobile

2) Intangible Product

Cannot be seen or touched.

Example:

Insurance

👉 Life insurance = Intangible product

2) Basic Insurance Terms ★

Premium

Money paid by customer to buy insurance.

👉 Premium = Cost of insurance

Sum Assured (SA)

Face value of policy.

Example:

Policy says ₹10 lakh cover →

SA = ₹10 lakh

Policy Term (PT)

Total period for which policy exists.

Example:

20-year policy = PT 20 years

Premium Paying Term (PPT)

Period for which premiums are paid.

Maturity Benefit

Money received when policy completes its term.

Survival Benefit

Money paid during policy period if insured survives.

Death Benefit

Money paid to nominee after death of insured.

Bonus

Extra money added from insurer's surplus.

Rider

Additional benefit added to main policy by paying extra premium.

Traditional Plans ★

1) Endowment Assurance Plan

Combination of:

Saving + Protection

If person survives:

➡ Gets maturity money

If person dies:

➡ Nominee gets death benefit

2) Money Back Plan

Type of endowment plan.

Provides:

Saving benefit

Death benefit

Periodic survival payments

Important:

If death happens:

➡ Full death benefit paid

➡ Previous survival benefits are not deducted

3) Whole Life Plan

Provides insurance cover till:

➡ 99 years of age

Premium is higher because coverage is longer.

Income Protection Category

Term Plan ★★ ★

Pure protection plan.

Features:

✓ Highest death cover

✓ Low premium

✓ Only death benefit

✗ No saving/maturity benefit

Can be:

Standalone policy

Rider

Needs:

Proposal details

Medical examination

Types of Term Plans

1) Increasing Term Plan

Purpose:

Beat inflation

Every year:

Premium ↑

Coverage ↑

2) Decreasing Term Plan (Mortgage Redemption Insurance)

Made for:

🏠 Home loan borrowers

Features:

Premium remains constant

Risk cover reduces

If borrower dies:

Insurance company pays remaining loan amount to bank.

3) Term Return of Premium (TROP)

If death occurs:

➡ Death benefit

If survives:

➡ Premium paid returned

Premium is higher than normal term plan.

Convertible Option ★

Only:

Term Plan → Endowment /

Whole Life

Possible

Reverse is not possible.

Remember:

👉 Term can convert, cannot come back.

Par and Non-Par Plan

Par Plan

Participates in insurer profits.

Gets:

➡ Bonus

Non-Par Plan

Does not participate in profits.

No bonus.

Provides:

➡ Guaranteed additions

Rider

Meaning:

Extra protection added to policy by paying extra premium.

Types:

1) ADB

Accidental Death Benefit

Extra money if death occurs due to accident.

2) WOP

Waiver of Premium

Future premiums are waived in certain situations.

3) CIR

Critical Illness Rider

Benefit for serious diseases.

4) PTD

Permanent Total Disability

Benefit for permanent disability.

5) Term Rider

Additional term insurance cover.

Quick IC38 Memory ★

Traditional:

Endowment = Saving + Death

Money Back = Endowment + Regular money

Whole Life = Cover till 99

Term:

Low premium + High death cover + No saving

Par = Bonus

Non-Par = No bonus

Rider = Extra benefit

4. Life insurance products – Non traditional

1) Limitations of Traditional Products

Traditional plans:

(Endowment, Money Back, Whole Life)

Problems:

1) Saving/Cash value not clear

Customer cannot easily understand how much saving part is growing.

2) Rate of return not easy to calculate

Final returns are difficult to predict.

3) Surrender value not easy to know

Amount received if policy is cancelled is not easily understood.

4) Low yield

Final maturity return is generally lower.

Remember:

Traditional = Less transparency

2) Advantages of Non-Traditional Products ★

Non-traditional products:

(ULIP, Variable Life, Universal Life)

Features:

1) Unbundled

Protection and saving parts are separated.

Example:

Premium clearly divided into insurance + investment.

2) Linked with investment gain

Returns depend on investment performance.

3) Inflation beating returns

Higher return possibility compared to traditional plans.

4) Flexibility

Customer has options to change investments.

5) Easy surrender value calculation

Value is clearly visible.

Remember:

Non-traditional = More transparency + flexibility

3) Universal Life Insurance (1979, USA)

Meaning:

A permanent life insurance plan with:

Flexible premium

Flexible face amount

Flexible death benefit

Remember:

Universal = Flexible

4) Variable Life Insurance (1977, USA)

Meaning:

A type of whole life policy where:

Death benefit + Cash value change according to investment performance.

Risk:

Cash value can become zero.

5) ULIP (Unit Linked Insurance Plan) ★★ ★

Meaning:

Insurance + Investment combined product.

Premium is divided into:

1) Mortality Charges

Cost of life insurance protection.

2) Expenses

Policy allocation charges.

3) Investment

Money invested in funds.

ULIP Features ★

✓ Premiums are transparent

✓ Policyholder chooses investment fund

✓ Death claim:

Higher of:

Sum Assured OR

Fund Value

is paid.

✓ Flexible

✓ Transparent

✓ Liquid

✓ Surrender value is clearly defined

ULIP Risk

Important:

Investment risk is borne by:

➔ Policyholder

Insurance company bears:

➔ Mortality risk

➔ Expense risk

ULIP Options

Switching

Changing money from one fund to another.

Example:

Debt fund → Equity fund

Redirecting

Changing where future premiums will be invested.

Funds Offered in ULIP ★

1) Equity Fund

Investment:

➔ Shares

Risk:

High

2) Debt Fund

Investment:

➔ Government bonds, fixed deposits, debentures

Risk:

Lower

3) Balanced Fund

Combination:

Equity + Debt

4) Money Market Fund

Investment:

Treasury bills

Commercial papers

Short-term instruments.

Quick IC38 Memory Trick 🧠

Traditional:

- ✗ Less transparency
- ✗ Low return
- ✗ Surrender unclear

Non-traditional:

- ✓ Flexible
- ✓ Transparent
- ✓ Investment linked

ULIP:

Insurance + Investment

Premium:

MEI

Mortality

Expenses

Investment

Funds:

EDBM

Equity

Debt

Balanced

Money Market

5. Application of Life Insurance

1) MWP Act (Married

Women's Property Act, 1874)



Section 6 of MWP Act

Purpose:

To protect the insurance money of:

- ✓ Wife
- ✓ Children

from:

- ✗ Creditors
- ✗ Court attachments
- ✗ Financial problems of husband

Who can take policy under MWP?

Only the person on whose life policy is taken.

Example:

Husband buys policy on his own life and opts for MWP Act.

Who can be beneficiaries?

1) Wife only

2) Wife + Children jointly

3) Children only

(Including legally adopted children)

Important Point ★

Beneficiaries cannot be changed later.

MCQ favorite question.

Features of MWP Policy



1) Separate Trust

Each MWP policy becomes a separate trust.

Special Trustee can be:

Wife

Child above 18 years

Claim money is paid to trustee for beneficiaries.

2) Nomination & Assignment Not Allowed

Normal policy:

Nomination possible

MWP policy:

- ✗ Nomination not allowed
- ✗ Assignment not allowed

3) Surrender Restriction

Policy cannot be surrendered easily.

Can surrender only if:

- ✓ All beneficiaries are majors
- AND
- ✓ They give consent

4) Protection from Creditors

Policy money cannot be taken by:

- ✗ Creditors
- ✗ Courts
- ✗ Even policyholder himself

5) Official Trustee

If no Special Trustee is appointed:

Claim goes to:

- ➡ Official Trustee of the State
- Official Trustee:
Government-appointed trustee.

Easy Memory for MWP ★

MWP protects:

Wife + Children

Not allowed:

- ✗ Nomination
- ✗ Assignment
- ✗ Change of beneficiary

2) Keyman Insurance



Meaning

Insurance taken by a company on the life of an important employee.

Purpose:

Protect company from financial loss if key employee dies.

Based On

Principle of:

- ➡ Insurable Interest

Type of Policy

- ➡ Term Insurance

Sum Assured

Linked with:

- ➡ Company's profitability

Premium

Paid by:

- ➡ Employer (Company)

Tax treatment:

Premium is treated as business expense.

Deduction available under:

- ➡ Section 37(1) Income Tax Act

Death Benefit

Paid to:

- ➡ Employer (Company)

Important:

- ✗ Taxable
- ✗ Section 10(10D) benefit not available

Who Can Be Keyman?

Director

Partner

Key Sales Person

Key Project Manager

Employee with Special Skills

Employee holding Important Position

Easy Example

Suppose:

A software company's top project manager handles major projects.

If he dies suddenly:

Company may suffer huge losses.

Company buys Keyman Insurance.

If employee dies:

Insurance company pays money to employer.

Quick IC38 Revision ★ MWP Act

Year → 1874
Section → 6
Protects → Wife & Children
Beneficiary change → Not allowed
Nomination → Not allowed
Assignment → Not allowed

Keyman Insurance

Type → Term Plan
Premium paid by → Employer
Death benefit paid to → Employer
Based on → Insurable Interest
Tax benefit U/S 10(10D) → Not available

6. Pricing & valuation in Life Insurance

1) Premium ★

Meaning:

Premium is the price/money paid by the insured to buy an insurance policy.

Example:

You pay ₹20,000 yearly → this is premium.

Types of Premium

1) Single Premium

One-time payment for whole policy.

Example:

Pay once and policy continues.

2) Regular Premium

Premium paid regularly.

Example:

Monthly/yearly payment.

3) Limited Premium

Premium paid for limited period but policy continues longer.

Example:

Pay for 10 years, cover for 20 years.

Risk Premium

Meaning:

Premium calculated according to mortality risk.

Based on:

→ Age and mortality table

Higher age = higher mortality risk = higher premium

Determinants of Premium ★

1) Mortality

Mortality = chance of death

Rule:

Higher mortality → Higher premium

Lower mortality → Lower premium

Example:

Older person generally pays higher premium.

2) Interest Rate

Interest and premium have opposite relation.

Higher interest rate → Lower premium

Lower interest rate → Higher premium

Because insurer earns more investment income.

Net Premium Formula:

Net Premium = Risk Premium – Interest

3) Expenses of Management

Insurance company expenses:

Agent commission

Staff salary

Office rent

Training

Electricity

Stationery

These are added to premium.

4) Reserves

Special fund kept by insurer to pay future claims.

5) Bonus Loading

Extra amount added for bonus benefits.

Gross Premium ★

Formula:

Gross Premium = Net Premium + Loading

Loading includes:

Expenses

Reserves

Bonus

Rebate (Discount)

Meaning:

Reduction in premium.

Types:

1) High Sum Assured Rebate
Higher insurance amount → discount given.

2) Mode of Payment Rebate

Payment frequency affects premium.

Modes:

Yearly

Half yearly

Quarterly

Monthly

Yearly payment:

→ More rebate

Monthly payment:

→ Extra charges/loading

Surplus ★

Meaning:

Extra money left after comparing assets and liabilities.

Formula:

Surplus = Assets – Liabilities

If:

Assets > Liabilities

→ Surplus (Profit)

Assets < Liabilities

→ Strain (Loss)

New Business Strain

Meaning:

In first year:

Expenses + reserves >

Premium collected

Because company spends more initially.

Ways of Valuing Assets

1) Book Value

Value shown in accounting books.

2) Market Value

Current selling price.

3) Discounted Present Value

Today's value of future money.

Free Asset

Asset that is not required to meet any liability.

Bonus ★

Meaning:

Extra amount added to policy benefit.

Types:

1) Simple Reversionary Bonus

Most common bonus.

Declared every year.

Added to policy benefit.

2) Compound Bonus

Bonus on previous bonus.
Example:
Bonus added → next bonus calculated on increased amount.

3) Terminal Bonus

Special bonus paid at maturity/claim.

Example:

Bonus declared in 2023 applies to claims during 2023-24.

Quick IC38 Memory Trick 100

Premium:

Single = Once

Regular = Regular payment

Limited = Pay for limited time

Premium factors:

M I E R B

Mortality

Interest

Expenses

Reserves

Bonus

Formula:

Gross Premium = Net

Premium + Loading

Surplus:

Asset - Liability

Bonus:

Simple → Compound →

Terminal

8. Life Insurance Underwriting

1) Underwriting ★

Meaning:

Underwriting is the process where insurance company checks:

→ Is this risk acceptable?

→ How much premium should be charged?

→ What terms and conditions should apply?

Example:

A person with good health and a person with serious illness cannot get the same premium.

Purpose of Underwriting

1) Prevent Anti-selection

Meaning:

High-risk people should not take advantage by hiding their risk.

Example:

A person hides a serious disease and buys insurance → anti-selection.

2) Equity among Risk

Meaning:

People with similar risk should:

→ Be grouped together

→ Pay similar premium

Risk Classification ★★ ★

1) Standard Lives

Normal risk.

Mortality rate = Normal

Premium:

→ Normal premium

Example:

Healthy person.

2) Preferred Risk / Lives

Better than normal risk.

Mortality:

→ Lower than standard

Premium:

→ Lower premium

Example:

Healthy person with excellent lifestyle.

3) Substandard Lives

Higher risk but still insurable.

Mortality:

→ Higher than normal

Premium:

→ Extra premium

Example:

Person with some health problems.

4) Declined Lives

Risk is too high.

Insurance:

✗ Not provided

Example:

Very serious diseases like HIV, advanced cancer.

Selection Process

1) Field Level

Done by:

→ Insurance agent

Agent is called:

Primary Underwriter

2) Department Level

Done by:

→ Underwriter

Underwriter checks proposal and decides:

Accept / Reject

Methods of Underwriting

1) Judgement Method

Underwriter uses personal judgement.

Used for:

Complex cases.

2) Numerical Method

Points are given for risk factors.

Example:

Negative health factor = points added.

More points = higher risk.

Underwriting Decisions ★

1) Acceptance with Ordinary Rate

Normal risk.

Premium:

→ Normal

2) Acceptance with Extra Rate
Risk is higher.

Premium:

→ Extra premium charged

3) Acceptance with Lien

Part of sum assured is restricted for some time.

Example:

Person had tuberculosis history.

If death occurs due to same disease during lien period → restriction applies.

4) Acceptance with Restrictive Clause

Permanent risk exists.

Special condition added.

Examples:

Dangerous occupation

Pregnancy-related risk

5) Decline or Postpone

Risk not acceptable.

Policy:

✗ Rejected or delayed

Types of Underwriting

1) Medical Underwriting

Medical test required.

Common when:

Age above 40/45
High sum assured
Term plan buyers

2) Non-Medical Underwriting
No medical examination.
Purpose:
→ Reduce medical expenses
→ Faster processing

Rating Factors in Underwriting



Company checks:

Age
Gender
Health history
Family history
Financial status
Occupation risk
Location
Lifestyle habits
Dangerous hobbies
Moral hazard

Quick IC38 Memory Trick 100

Risk classification:

S P S D

S = Standard

P = Preferred

S = Substandard

D = Declined

Decision:

O E L R D

O = Ordinary rate

E = Extra rate

L = Lien

R = Restrictive clause

D = Decline

Underwriting = Check risk →

Decide premium →

Accept/reject ✓

9. Life Insurance Claims

1) Claim ★

Meaning:

Claim is a request made by the policyholder/nominee asking the insurer to fulfill the promise mentioned in the insurance contract.

Types of Claims

A) Survival Claim

Money received when insured survives or policy benefit becomes payable.

Includes:

1) Maturity Claim

Policy completes its term.

Example:

20-year policy completed → maturity amount paid.

2) Money Back Policy Pay-out
Regular payments received during policy period.

3) Surrender Value
Amount received when policy is cancelled before maturity.

4) ULIP Fund Value
Amount received according to investment value.

5) Critical Illness Rider Benefit
Money paid if insured suffers covered critical illness.

6) Term Return of Premium
At end of term:
Premiums returned (without interest/bonus) if insured survives.

B) Death Claim ★

Claim made after death of insured.

Types:

1) Early Death Claim

Death occurs:

→ Within 3 years of policy issue

2) Non-Early Death Claim

Death occurs:

→ After 3 years of policy issue

Repudiation of Death Claim

Meaning:

Claim rejection by insurer.

Reason:

If proposer:

Gives wrong information

Hides important facts

Then contract can become void.

Example:

Person hides serious disease while buying policy.

Indisputability Clause



Section 45 of Insurance Act, 1938

Purpose:

Protects policyholder from unfair claim rejection.

Rule:

After 3 years, insurer cannot question policy on small reasons.

But:

If material facts are false → claim can be rejected.

Remember:

Section 45 = 3 years

Presumption of Death Claim

According to:

Indian Evidence Act, 1872

If person is not seen/heard for:

→ 7 years

Person is presumed dead.

Claim paid only after:

→ Court decree

Claim Settlement Procedure



1) Additional documents/query

Insurer asks within:

→ 15 days

2) Claim decision

Paid or rejected with reason within:

→ 30 days

3) Delay in payment

Interest paid:

→ 2%

4) Investigation

Time:

→ 3 to 6 months

Death Claim Documents

Remember:

P D D I

P = Policy Document

D = Discharge Form

D = Death Certificate

I = Inquest/Post-mortem Report

Important Abbreviations ★

ESI/ESIS

= Employees State Insurance Scheme

CGHS

= Central Government Health Scheme

CHI

= Commercial Health

Insurance

PHC

= Public Health Centre

ASHA
= Accredited Social Health
Activist
NRHM
= National Rural Health
Mission
CHC
= Community Health Centre
IIB
= Insurance Information
Bureau
IRDAI
= Insurance Regulatory and
Development Authority of India
HLV
= Human Life Value
MRI
= Mortgage Redemption
Insurance
CLI
= Credit Life Insurance
TPA
= Third Party Administrator
III
= Insurance Institute of India
MWP
= Married Women's Property
Act
IGMS
= Integrated Grievance
Management System
AML
= Anti Money Laundering

MHR
= Moral Hazard Report
COI
= Centre of Influence
ICD
= International Classification
of Diseases
CPT
= Current Procedure
Terminology

Important Sections ★★ ★
Section 45
Indisputability Clause
→ 3 years

Section 6
MWP Act
→ Wife & children protection

Section 39
Nomination

Section 38
Assignment

Section 42
Insurance Agent appointment

Section 41(1)
Agent cannot give rebate

Section 41(2)

Punishment for rebate
→ Up to ₹10 lakh

Section 42A
No business through:
Principle agent
Special agent
Multi-level marketing

Section 43
Record of ceased agents
maintained for:
→ 5 years

Section 64VB
Premium must be received in
advance before taking risk

Section 64V
Maintain sufficient capital

Last Minute IC38 Memory 100
Claim:
Survival = Living benefits
Death = After death
Important numbers:
15 days → Documents/query
30 days → Claim decision
3 years → Early claim + Section
45
7 years → Presumption of
death
2% → Delay interest